



ASSOCIATION OF MUTUAL FUNDS IN INDIA

135/ BP/ 121/ 2025-26

May 16, 2025

To,

All AMFI Members

Dear Members,

AMFI Best Practices Guidelines Circular No. 121 /2025-26

Sub: Treatment of applicability of commission rate in case of switch transaction to NFO of a Regular Plan of Mutual Fund schemes

With reference to para no. 3 of SEBI's circular ref. SEBI/HO/IMD/IMD-PoD-1/P/CIR/2025/23 dated 27th February 2025, which states;

"In order to discourage mis-selling of mutual funds schemes by Mutual Fund Distributors, in terms of Regulation 52 (4A) of the MF Regulations, in case of switch transaction to NFO of a regular plan of mutual fund scheme from an existing scheme managed by the same AMC, the AMC shall ensure that the distribution commission paid is lower of the commissions offered under the two schemes of switch transaction. The detailed guidelines in this regard shall be specified by AMFI, in consultation with SEBI."

The matter has been examined by AMFI in consultation with Operations and Compliance Committee and ARN Committee. Accordingly, members are requested to note the following guidelines for uniform implementation:

1. Acceptance of switch requests:

- a. Switch Requests from existing scheme of the AMC can be accepted till the last day of the NFO (In case the last day is a non-business day then the switch should be accepted till last business day prior to closure of NFO) provided the funds in the NFO scheme account are received on or before the allotment date.
- b. The cut off time for acceptance of switch will be as per the existing guidelines applicable for the switch out scheme, which is currently 3.00 PM.

2. Application of commission under two schemes of switch transaction – Switch out and Switch -in i.e. NFO scheme:

1. The comparison of commission rates will be made between switch out and switch in scheme to arrive at the lower of the 2 commission.
2. In case of switch out scheme, the last applicable rate of commission will be considered.
3. Once the lower of the two-commission rate is arrived, such commission rate will be applicable to the MFD under the NFO scheme, perpetually.

Please refer to the examples given below for better clarity.

	Example 1	Example 2
Rate of NFO scheme	From allotment date till 12 months - 0.70 12 months onwards - 0.60	From allotment date till 12 months - 0.40 12 months onwards - 0.30
The last paid rate for switch out scheme	0.50	0.50
The applicable rate for the MFD under NFO would be	0.50	From allotment date till 12 months - 0.40 12 months onwards - 0.30.

3. **Exemption:** AMFI had requested SEBI to consider exempting switch transaction from Liquid and Overnight Fund.

SEBI vide their mail dated 15th May 2025 advised that the requirement of lower commission shall not be applicable for switch transactions where the source scheme is liquid fund or overnight fund subject to the requirement that investments in such liquid fund or overnight fund have not been made through switch transaction from other schemes within the preceding 30 calendar days.

It is also clarified that the requirement of lower commission shall also not be applicable for switch transactions where the source scheme is liquid fund or overnight fund and where the investments in such liquid fund or overnight fund is made by way of fresh investment, irrespective of the no. of days prior to NFO.

Example, if the fresh investment is made in Liquid/Overnight Fund on 5th May 2025 and the switch to NFO is made on 13th May 2025, for this transaction the MFD will be entitled to receive commission of NFO scheme.

4. **Applicability:** Since the aforesaid SEBI circular is effective from 1st April 2025, above guidelines would be also applicable for the NFOs launched from 1st April 2025 onwards. Further, all other conditions stipulated from time to time by SEBI/AMFI such as validity of ARN, submission of Self Declaration Certificate etc. remains unchanged.

Members are advised to place a copy of the above guidelines for information before their AMC Board and the Trustees at their next board meetings.

With regards,


Venkat Chalasani
Chief Executive